

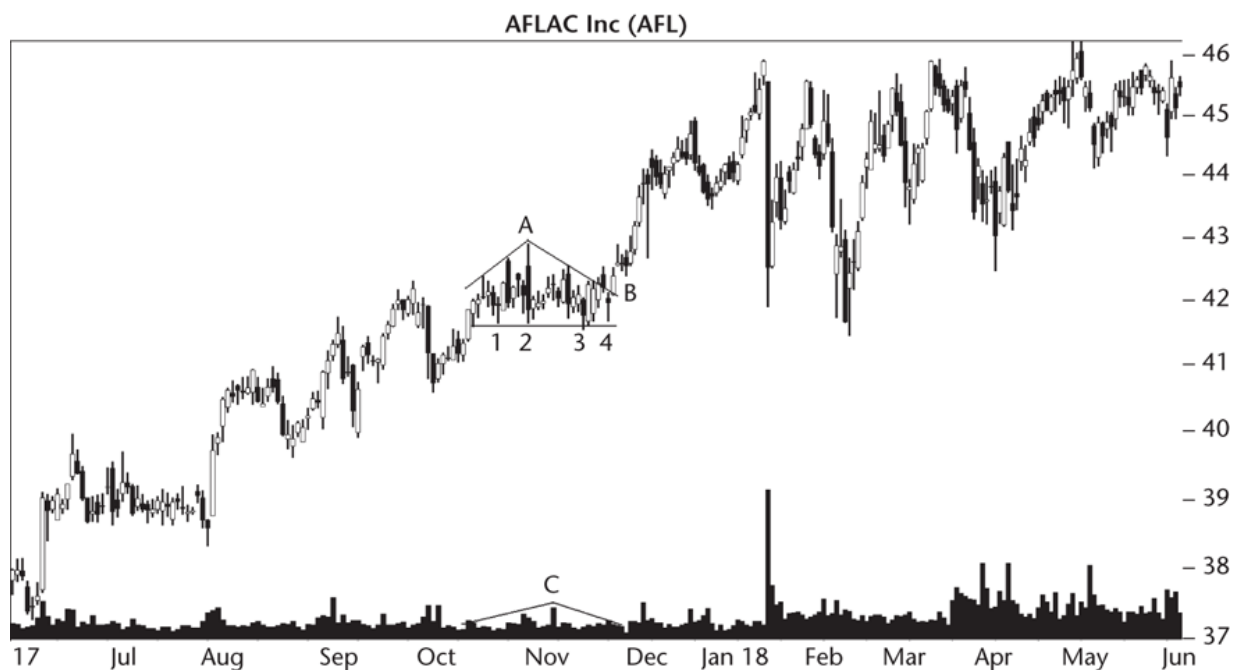


Figure 53.2 This roof may look like a head-and-shoulders top, but the breakout is upward, invalidating the head-and-shoulders.

Trendline touches. Look for at least three touches of the bottom trendline. Each touch should be a distinct minor low, but allow exceptions. The figure shows four touches, conveniently labeled 1 through 4.

Horizontal trendline. The bottom trendline should be horizontal or nearly so. The two top trendlines should slope downward from a peak, like that shown, with price touching each trendline.

Volume. Volume typically trends downward from left to right until the breakout, where it might be higher. In the figure, I show an irregularly shaped volume trend (C) that peaks in the middle of the pattern.

Breakout direction. A breakout occurs when price closes beyond one of the trendlines. Often the stock will have a downward breakout 58% of the time, leaving 42% of roofs breaking out upward. The roof shown in [Figure 53.2](#) has an upward breakout at B when the stock *closes* above the AB trendline.

Duration. I did not set a minimum duration for roofs, but they typically last about six weeks. It takes several weeks to create the flat base and sloping roof structure.